

Strategic Management: Mindsets and Behaviors

As we described at the beginning of Chapter 29, effective strategic management requires fluency in two distinct yet interrelated disciplines. One, strong analytics capabilities, was the subject of that chapter. This chapter focuses on the other discipline: the mindsets, behaviors, and processes that orient and motivate the entire management team toward its long-term common goals.

For all the time managers spend developing strategic plans, they are often ineffective at turning those plans into actions. Budgets and actual spending don't always reflect strategic priorities. In a 2016 survey of 1,271 executives, only 30 percent said their company's budgets for capital expenditures, research and development (R&D), and sales and marketing were closely aligned with their strategic plans.¹ Instead, companies frequently cut back R&D spending or sales and marketing expenditures to meet arbitrary short-term earnings targets. Similarly, managers responding to another survey indicated that their companies are too stingy, especially with investments expensed immediately through the income statement and not capitalized over the longer term.² About two-thirds of the respondents said their companies underinvest in product development, and more than half said their companies underinvest in sales and marketing and in new products or new markets (see Exhibit 30.1).

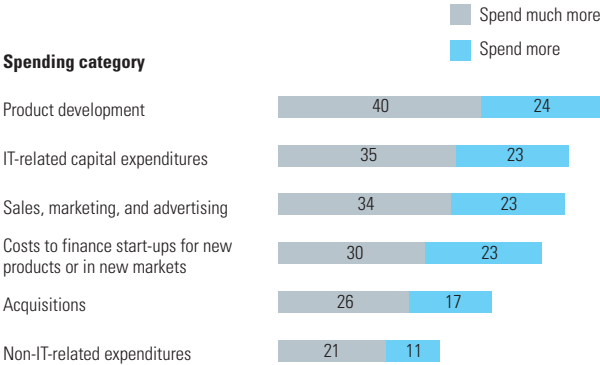
Durably tying strategy to effective action requires effort to change these practices. The greatest opportunity lies in enterprise-wide resource allocation. Mastering the art of resource allocation requires executives to escape the strictures of organizational silos and break them down to make allocation decisions across the entire enterprise, ranking all opportunities according

¹ T. Koller, D. Lovallo, and Z. Williams, "The Finer Points of Linking Resource Allocation to Value Creation," *McKinsey on Finance*, no. 62 (Spring 2017), www.mckinsey.com.

² T. Koller, D. Lovallo, and Z. Williams, "A Bias against Investment?" *McKinsey Quarterly*, September 2011, www.mckinsey.com.

EXHIBIT 30.1 **Where Executives Would Spend More to Maximize Value**

% of respondents saying their company would maximize value creation by spending more or much more



Source: T. Koller, D. Lovallo, and Z. Williams, "A Bias against Investment?" *McKinsey Quarterly*, September 2011, www.mckinsey.com; $n = 1,586$.

to their strategic importance. Too often, however, the chief executive officer (CEO) allocates large clumps of resources to division heads, who in turn allocate resources to business units in amounts that are smaller but still too large. This approach detaches resources from broad strategic priorities and makes the entire process vulnerable to the barriers and biases that skew effective resource allocation. In contrast, when executives rank all initiatives, they improve the chances that the most important ones will be fully funded, regardless of where they are within the company—even if, say, all five of a unit's projects receive funding, compared with only one out of five in another unit.

Making such decisions requires not only the analytics discussed in Chapter 29 but also a strong set of mindsets, behaviors, and processes to guide and support thinking, motivate managers and employees, and shape and reinforce a strategic management culture focused on long-term strategic goals. This chapter examines three elements that are particularly important:

1. *Strong governance.*³ The CEO and top team must be fully committed to the company's long-term strategy and be willing to invest enough resources accordingly, regardless of short-term consequences. The CEO and top team must also have the support of an influential corporate staff that can challenge the business units' investment plans.
2. *Debiased decision making.* Most organizations are susceptible to a wide range of decision-making biases. Companies must make a systematic effort to overcome these biases in order to improve the quality of their decisions.

³ The term *governance* takes many different forms in a corporate setting. In Chapter 6, we explored the all-encompassing system of processes and controls a company adopts to govern itself. In this chapter, our focus is internal decision making and the CEO's role in making and delegating important strategy decisions to pursue long-term value creation.

3. *Synchronized processes.* Companies must link together more explicitly their strategic planning, budgeting, and other processes to ensure that strategic initiatives are funded with a view to maximizing enterprise value. To support the development of such streamlined processes, companies also need to nurture excellent strategic skills throughout the organization.

STRONG GOVERNANCE

A company can have a very good strategy, but it won't succeed unless its top executives are committed to making the tough decisions required to carry out that strategy. For example, a technology company announced a thoughtful and ambitious strategy that was on target with emerging trends and technologies. However, the company's existing businesses were simultaneously under pressure from declining demand. To keep short-term profits growing, management held back on making serious investments in the new strategic areas. A competitor spotted the new opportunity and became the first to make the necessary investments to win in the market. As of 2019, that competitor was garnering five times the revenues from this new area than the first company was taking in.

Long-Term Vision

To commit to their company's strategy, executives must take a long-term view. Otherwise, the demands of short-term profit are likely to create a distraction, as they did at the tech company in the previous example. This is not to say that maintaining a long-term view is easy. In many cases, management and employee incentives are tied to short-term performance, and the company's board may observe only short-term measurable results, not progress toward long-term goals.

Ultimately, overcoming these obstacles requires some subjective behaviors. A commitment to a company's strategy can often depend on the courage of the CEO and executive team to pursue a long-term vision of value creation against the inclination of executives to give in to short-term pressures and incentives. Three approaches can indicate that governance links strategy to long-term value:

1. *Adequate investment where it counts.* Investment should be directed to prime prospects at a level sufficient to secure a leadership position. Executives need to avoid spreading investment thinly across too many strategies. The executive team should put enough resources and talent behind the most important initiatives, even if this causes a dip in short-term profits. The success stories of many companies include a period in which profitability pauses while investment in the next wave of growth takes root. Investing to win also means passing up some ideas in favor of those with bigger payouts. That also helps to keep the management team from fragmenting as it tries to oversee too many projects.

2. *The right incentives for top management.* Most management incentive plans suffer from short-term bias and are heavily weighted to a single year's accounting and earnings measures. Even those based on share price performance typically rely on earnings over a single year to determine how many shares an executive receives. Ideally, incentives should weight more to revenue growth and achieving strategic milestones, even if they are measured qualitatively.
3. *An engaged, supportive board of directors.* To be engaged and supportive, board members must understand and back up the strategy, enabling managers to avoid skimping on investment to meet short-term profit growth. To do this, they must be familiar with the details of the strategy and understand performance at a granular level. This equips them to ensure that managers are striking the right balance between investments and current financial performance.

The Right Decision Makers

Managing strategically requires the conviction to make difficult choices. A CEO's core activities in pursuit of value creation are setting targets and allocating resources, such as capital, R&D, and people. Yet targets and resource allocation often don't align with tough strategic choices, either because decisions are not made at the right level or because the CEO strives for consensus, which results in compromises that dilute strategic efforts.

One remedy is to create a kind of funnel effect in which broad debate about a company's investment options eventually narrows down to a subset of the executive team that makes the ultimate allocation decisions. For example, the CEO, chief operating officer (COO), and chief financial officer (CFO) might organize a broad discussion among division and business unit leaders and others to field strategy ideas and pitches for resources. Then the top three executives might meet separately to debate, narrow down options, and decide on final targets and resource allocation. This approach helps to overcome a common dynamic: business unit leaders maneuvering to secure maximum resources for their units, rather than having the allocation process sort out what's best for the company's overall strategy. Tough calls on final allocation decisions should also be easier to make when fewer people are in the room.

This kind of funnel effect helped the CEO of a financial technology company where resource allocation decisions had long been made by a group of more than 15 executives. The CEO preferred to build consensus but realized that consensus tended to make everyone a little bit happy at the cost of poorly aligning investment spending with strategic priorities. He soon realized that the only way to improve resource allocation was to make the decisions himself.

That said, modifications may be necessary, depending on the culture of the company or in countries where consensus is essential. For example, a CEO could shape her own proposed allocation plan and come back to the senior management team to gain consensus support for it.

Granular Decisions

Decisions also need to be made at the right level of granularity. Consider a large health-care company that was organized around three divisions, with each division having roughly 20 business units. The company had a culture of decentralized decision making, so executives allocated R&D and sales and marketing spending to the three divisions and let the division leaders decide how to allocate across their business units. The result: spending was aligned not with corporate priorities, but with the short-term incentives of the division heads. Even worse, if one business unit was having a difficult year, the division head would frequently ask other units to pull back funding from longer-term investments.

The solution in such a case is for the CEO, often with the CFO, to allocate resources and set performance targets at a much finer-grained level. As we discussed in Chapter 29, for a company with around \$10 billion in annual revenues, resource allocation works well at a level of 20 to 50 units or projects, though some companies go further.

Allocating resources at a more granular level requires more CEO time. But we believe that careful allocation, as one of the CEO's most important decisions, is well worth the extra time and effort. In our discussions with companies, we've observed a dichotomy between companies where the CEO and CFO allocate at only a high level versus those that are much more detailed. More granular allocation is typically more effective at ensuring that spending is aligned with long-term priorities. One large company spent more than \$10 billion per year in capital expenditures, but the top corporate executives spent only several hours per year in their final deliberations on how to allocate that spending. After working through a new process, they increased their time spent on resource allocation to two days. The result: a finer-grained capital spending plan more tightly linked to the company's overall strategic priorities.

Strong Staff

To make allocation decisions, CEOs and CFOs need effective staff support. This usually takes the form of a financial planning and analysis (FPA) team and/or a corporate-strategy team. Despite the importance of this role, many companies have in recent years cut the resources of their FPA teams to levels where they barely have time to coordinate the planning process and add up the numbers. This misguided gesture, aimed at setting an example of commitment to spending reductions, has left no capacity for thoughtful analysis or for challenges to business units' resource requests. In these situations, any challenges to business unit plans are left to the CEO or CFO, who often lacks sufficient knowledge to build a strong case.

In contrast, we've observed that companies with stronger FPA or corporate-strategy teams tend to draw valuable insight and influence from the teams. This appears to make a large difference in the effectiveness of their planning

and resource allocation. Common indicators of a strong FPA capability include an FPA leader with real stature and influence inside the company, team members with extensive experience in different parts of the company beyond finance, and a team with time to do its own analysis of the current and potential performance and opportunities for different business units.

DEBIASED DECISION MAKING

When it comes to making decisions, human beings have built-in biases. So do companies and other organizations. In any number of ways, these biases can stall, skew, or deny the kind of clear-sighted decisions that are at the heart of strategic management. To put in place the right sets of behaviors and processes to tie strategy to value creation, management must make tangible efforts to overcome these biases. This section defines some of the most common behavioral biases that we have seen affecting important strategic-planning situations. By identifying and remedying the distorted thinking associated with these biases, executives can improve the quality of their company's decision making. The good news is that, in many cases, simply having strictly enforced rules and processes for managers and employees can reduce the incidence of biased thinking. A culture that promotes strong analytics also can help (see Chapter 29).

Inertia (Stability Bias)

Inertia, or stability bias, is the natural tendency of organizations to resist change. A study by colleagues of ours found, on average, a greater than 90 percent correlation of spending allocations across business units from year to year.⁴ Furthermore, the correlation for fully one-third of the companies was 99 percent; that is, the allocation of spending to business units essentially never changed. The same study showed that companies that reallocated more resources—the top third of our sample over a 15-year period—earned, on average, 30 percent higher total shareholder returns (TSR) annually than companies in the bottom third of the sample.

The solution to inertia bias is relatively straightforward. Rank initiatives across the entire enterprise, as described in Chapter 29. In addition, ensure that the budget you are building is rooted in the current strategic plan, not last year's budget. The essential idea is to ignore as much as possible the influences of past allocations or budgets. In practice, you may not be able to shift resources as quickly or as much as this approach suggests. But trying to ignore the past as a starting point will help you minimize the inertia.

⁴ S. Hall, D. Lovallo, and R. Musters, "How to Put Your Money Where Your Strategy Is," *McKinsey Quarterly* (March 2012), www.mckinsey.com.

Groupthink

Groups of decision makers have a tendency to engage in groupthink, a focus on harmony and consensus. This can get in the way of examining all the options objectively, leading to weaker—and sometimes disastrous—decisions. Consider the failed Bay of Pigs invasion of Cuba during U.S. president John F. Kennedy's administration. Arthur Schlesinger Jr., one of Kennedy's advisers, wrote this about his participation in the debate leading up to the humiliating defeat of U.S.-backed Cuban exiles trying to overthrow the regime of Cuban leader Fidel Castro: "In the months after the Bay of Pigs I bitterly reproached myself for having kept so silent in the Cabinet Room . . . I can only explain my failure to do more than raise a few timid questions by reporting that one's impulse to blow the whistle on this nonsense was simply undone by the circumstance."⁵

A variation on this failing occurs when participants don't speak up because they feel the subject under discussion does not fall into their area of responsibility or expertise. At one global agriculture company, the members of the executive committee tended to speak up during strategy conversations only if their area of the business was being discussed. The tacit assumption was that colleagues wouldn't intrude on other colleagues' area of responsibility—an assumption that deprived the committee of their insights.

The weight of evidence strongly supports that decisions are better when there is rigorous debate. One research effort found that for big-bet decisions, high-quality debate led to decisions that were 2.3 times more likely to be successful.⁶ Extensive study has explored the importance of vigorous debate in improving decision making.⁷ There is a reason why some U.S. Supreme Court justices have hired clerks with different political views than their own: it helps to ensure that their own thinking remains rigorous.

Ideally, a company dedicated to pursuing long-term strategic success should have a culture of dissent, where rigorous debate is the norm. But most companies need to take more active steps to stimulate debate. The key ingredient is to depersonalize debate and make it socially acceptable to be a contrarian. Here are some useful techniques:

- *Assigning a devil's advocate.* At a strategy discussion, assign someone the task of taking an opposing point of view. Make sure this contrarian's contribution is more than just offering opinions. The focus should be

⁵ A. Schlesinger Jr., *A Thousand Days: John F. Kennedy in the White House* (New York: Houghton Mifflin, 1965), 255.

⁶ I. Aminov, A. De Smet, G. Jost, and D. Mendelsohn, "Decision Making in the Age of Urgency," McKinsey & Company, April 2019, www.mckinsey.com.

⁷ See, for example, A. Duke, *Thinking in Bets: Making Smarter Decisions When You Don't Have All the Facts* (New York: Portfolio/Penguin, 2018).

on bringing out potential opposing scenarios of what could happen or highlighting missing information important to the debate.

- *Bringing a diverse group to the discussion.* More than 150 years ago, John Stuart Mill wrote in *On Liberty*, “The only way in which a human being can make some approach to knowing the whole of a subject is by hearing what can be said about it by persons of every variety of opinion.” More recent research has proven his point.⁸ Diversity means drawing on the opinions of people from different disciplines, roles, genders, and races in important discussions. Bring in more junior people with special expertise, create an environment where it is safe for them to speak up, and ask them for ideas.
- *Encouraging debate with secret ballots.* Use a secret ballot at the beginning of the debate, not the end. Once a proposal has been presented and before it is debated, ask participants to vote on the idea in secret. The request could be for a yes-or-no vote on a project or for a ranking of investment priorities. When the results are revealed, assuming participants discover at least one other person shares their views, the knowledge will likely make them more comfortable expressing their opinion.
- *Setting up a red-team/blue-team activity for large investments.* Arrange two teams to prepare arguments for opposing outcomes. While undertaking the preparatory work and analysis for this approach is expensive, it can make a difference for particularly large decisions with high uncertainty.

Confirmation Bias and Excessive Optimism

Confirmation bias and overoptimism are two distinct biases. However, the same set of techniques applies to both, so we discuss them together.

Confirmation bias is the tendency to look for evidence that supports your hypothesis or to interpret ambiguous data in a way that achieves the same result. For business decisions, this often takes the form of “I have a hunch that investing in *x* would create value. Therefore, let’s look for some supporting facts that will back up our hunch.” The universal foundation of the scientific approach to addressing a hypothesis is the opposite: you should look for disconfirming evidence.

Overoptimism is the tendency to assume that everything will go right with a project, even though past projects tell us that such smooth outcomes are rare. A classic example is the construction of the famous Sydney Opera House, whose schedule and budget were both overly optimistic. The project was completed ten years late and cost 14 times the original budget.

⁸ Ibid.

Some of the techniques used to overcome groupthink, such as the use of opposing red and blue teams, can help here. The simplest approaches are to avoid developing hypotheses too early in the process and to actively look for contrary evidence. Other potential correctives for confirmation bias and over-optimism include the following two methods:

1. *Conducting a pre-mortem.* A “pre-mortem” is an exercise in which, after a project team has been briefed on a proposed plan, its members purposely imagine that the plan has failed. The very structure of a pre-mortem makes it safe to identify problems. Sometimes team members will compete to see who can raise the most worrisome issues.⁹
2. *Taking the outside view.* One way to make better forecasts is to take the outside view, which means building a statistical view of a project based on a reference class of similar projects. To understand how the outside view works, consider an experiment performed with a group at a private-equity company. The group was asked to build a forecast for an ongoing investment from the bottom up—tracing its path from beginning to end and noting the key steps, actions, and milestones required to meet proposed targets. The group’s median expected rate of return on this investment was about 50 percent. The group was then asked to fill out a table comparing that ongoing investment with categories of similar investments, looking at factors such as relative quality of the investment and average return for an investment category. Using this outside view, the group saw that its median expected rate of return was more than double that of the most similar investments.¹⁰

Loss Aversion

We previously explored loss aversion in Chapter 4, via survey results showing that most executives are loss averse and unwilling to undertake risky projects with high estimated present values.¹¹ The primary solution to overcoming loss aversion is to view investment decisions based not on their individual risk but on the basis of their contribution to the risk of the enterprise as a whole (see Chapter 29).

⁹ G. Klein, T. Koller, and D. Lovallo, “Pre-Mortems: Being Smart at the Start,” *McKinsey Quarterly* (April 2019), www.mckinsey.com.

¹⁰ T. Koller and D. Lovallo, “Bias Busters: Taking the ‘Outside View,’” *McKinsey Quarterly*, September 2018, www.mckinsey.com.

¹¹ For more on overcoming loss aversion, see D. Lovallo, T. Koller, R. Uhlener, and D. Kahneman, “Your Company Is Too Risk-Averse,” *Harvard Business Review* (March–April 2020), hbr.org.

That's easy in theory, but executives are typically concerned about the risk of their own projects and the potential impact on their careers. That's why those decisions should be elevated to executives with a broader portfolio of projects whose risks cancel each other out. Often, the decisions must be pushed up to the CEO.

To be most effective, companies also must encourage middle-level managers and other employees to propose risky ideas. Companies can do this by eliminating risks to the employee. Many employees censor themselves because of concerns that their careers will suffer if their idea for a project fails. To overcome this concern, it's important to agree on the various risks up front with the top leadership and conduct post-mortems on projects, particularly to identify causes of failure. If a project fails because the decision to go ahead with the project turned out to be incorrect (which should happen frequently), that failure should not bear on the manager responsible for the project. The responsible manager should only be accountable for the quality of execution of the project.

Some companies have gone even further by demonstrating that failure, depending on the circumstances, does not damage one's career. For example, David Pottruck, former CEO of Charles Schwab, wrote about what he calls Noble Failures.¹² If a project was well planned, had contingencies, limited the negative fallout, and followed a policy of "no surprises," and if participants learned from their experience, even a failed effort might be considered "noble." Pottruck explained, "The Noble Failure concept is intended to encourage people to voice their opinions and ideas more freely because they know that even a failing effort will be tolerated, sometimes even celebrated, and never punished."

SYNCHRONIZED AND STREAMLINED PROCESSES

The typical company's planning and performance management process includes developing a corporate strategy, creating a three- to five-year strategic financial plan, converting that to an annual operating plan, and finally producing a detailed budget. During the year, the company needs to monitor performance for potential corrective action or adjustments and may need to adjust its resource allocation. Exploring each of these processes in detail is beyond the scope of the book. Instead, we'll focus on certain key elements that are essential to ensuring that the corporate strategy and its required enterprise resource allocation are implemented effectively.

¹² D. Pottruck, *Stacking the Deck: How to Lead Breakthrough Change against All Odds* (San Francisco: Jossey-Bass, 2015), 164.

Start with Strategy

Let's begin with the corporate strategy itself. The strategy should include the company's broad strategic direction, including high-level resource allocation across units, key strategic initiatives, and portfolio changes (for example, significant acquisitions and divestitures). The company's strategy need not be on the same rigid schedule as the rest of the planning and performance management process. In fact, some argue that the timing should be delinked so that the strategy can be refined and revised as circumstances change and new information becomes available.¹³ This also provides more time for introspection and avoids the "all hands on deck" approach that consumes so much time. The CEO and top team, supported by a strong staff, should handle the strategy itself.

Build a Plan

Once a year, the strategy must be translated into specific plans.¹⁴ Companies typically start with a three- to five-year strategic financial plan. Ideally, the plan should focus on resource allocation: where investment dollars (capital as well as expensed investments) will be allocated and how much will be invested overall. The plan should also consider whether the company has the right people in the right places to execute the investments effectively.

One mistake that companies often make in their three- to five-year strategic plan is putting the detail in the wrong places. A good strategic financial plan should be granular in terms of its number of business units and strategic initiatives to pursue but simplified when it comes to the number of line items per business. Companies often require detailed, line-by-line income statement and balance sheet projections. In our experience, a value driver approach (see Chapter 29) is better for streamlining the process and focusing on strategic issues. This approach focuses on the most important items for each unit—for instance, market growth, share growth, changes in costs per unit and pricing, overall general and administrative spending, and overall R&D spending. This approach also requires fewer people and simplifies iteration.

Shape Operations

After the three- to five-year financial plan is set, it's time to craft an annual operating plan (AOP), although some companies skip this step and go straight to preparing a detailed budget. The AOP is the opportunity for the company to finalize spending decisions and performance targets for the year.

¹³ C. Bradley, M. Hirt, and S. Smit, *Strategy Beyond the Hockey Stick* (Hoboken, NJ: John Wiley & Sons, 2019), 175–177.

¹⁴ While some companies use continuously updated budgets instead of an annual plan and budget, these are still limited to unique circumstances.

This is where linking strategy to action can go haywire. As we mentioned at the beginning of this chapter, only about 30 percent of surveyed executives reported that the ultimate budget allocation for capital expenditures and other investments at their company was “very similar” to the strategic financial plan. This means that for many companies, the process of shaping the first year of the strategic financial plan fails to translate into the AOP. Sometimes this occurs because the two processes are disconnected; the AOP builds off last year’s spending rather than off the strategy. At other times, the desire to hit short-term targets derails the planning process, and the strategy is forgotten.

This disconnect can be repaired. Senior management should mandate that the AOP spending align with the first year of the strategic financial plan. Another helpful tweak is to shorten the time between development of the three- to five-year financial plan and creation of the budget. The longer the gap, the more likely the two will be misaligned. For some companies, the gap between these tasks can be two to three months. That’s too long. It’s better to move the strategic plan later in the process.

Strategic financial plans and AOPs can feel static, given that no action plan backs them up. Successful companies remedy that situation by ensuring that action plans support strategic initiatives and detail clear lines of responsibility. Only when these requirements are met should a company put together the detailed budget for every unit and department.

Review Performance, Repeat

The next step is managing performance during the year, which comprises a regular review of performance against AOP and budget targets. The major stumbling blocks to insightful performance management are a lack of good, timely data at a sufficient level of detail and the wrong kind of data. The best companies have automated and integrated systems that allow them to review results, typically monthly, shortly after the end of the month. Unfortunately, many companies still spend too much time generating and debating the performance numbers. Or they focus on just the accounting results, rather than the business drivers of performance. Only by understanding the business drivers can executives take action to improve performance. Is the market growing faster or slower than expected? Are we losing or gaining share? Are competitors behaving as expected? If the market is growing slower, should we try to gain share, or will a price war just exacerbate the problem? Should we cut discretionary costs because sales are not at target levels? If we do, won’t that move hurt us next year?

It’s impossible to know during the planning process what unexpected events will come up during the year. Companies need a process for adjusting their resource allocation during the year and sometimes adjusting performance targets as well.

In addition, once projects have gotten underway, companies tend to delay stopping them even if those projects aren't going to earn attractive returns. What's more, some companies don't even measure the expected return once the project has started. Several techniques can help here.

First, we've found that some companies provide flexibility by allocating less than their entire spending pool during the budgeting process. They'll hold back 5 or 10 percent at the corporate level for opportunities that may arise during the year. These may be from new ideas that shouldn't be delayed or in response to competitive actions and customer demands that have changed.

Second, companies should use a stage-gating process for releasing spending for projects. This flips on its head the common practice of not actively looking to stop projects once they've started. With stage gating, managers aren't allowed at the start to spend all that's allocated to a project; instead, they must obtain periodic approvals to continue moving forward. The benefit of stage gating is that projects unlikely to succeed can be killed earlier, thereby freeing up resources that can be allocated elsewhere. Similarly, some projects should be conditionally approved. Say a project is included in the budget for the year, but spending won't start until October. That project could be reviewed in, say, August or September to make sure its present value is still positive and aligned with strategy.

In hewing to the benefits of allocating resources at the most granular level possible, management should also require business units to ask for approval to shift spending from one project to another. At too many companies, once a budget has been approved, the business unit can move around money in ways that may not be aligned with longer-term strategic objectives.

One company successfully combined several of these tactics. Management set up monthly meetings of an investment committee to deal with in-year allocation issues. The committee did not review every project at each meeting, but it established an agenda for approving or denying a variety of allocation proposals. Proposals involved advancing stage-gated projects and provisionally approved projects, requests for funds for unbudgeted projects, and requests to shift spending within a business unit from one project to another.

Another common shortcoming of many companies lies in the quality of business cases advanced to support investments. Some companies' decision processes even lack business cases altogether. It's surprising how frequently CFOs complain about this situation. In some companies, many investment proposals don't even measure the value impact of the investment, on the grounds that the project either is deemed "strategic" or is related to safety or regulatory needs.

We believe that almost every project should have a business case with a quantified present value and risk assessment, even if the value is a rough estimate. At one company, managers argued that they couldn't quantify the value of projects to improve customer service, because the projects would serve only

to maintain, not increase, revenues. Their fallacy was the improper definition of the base case as no change in revenue forecasts. But what would actually happen if they didn't improve customer service? Would revenues decline? How quickly? Would the customers they would lose be marginal ones or profitable ones? After they posed and answered these questions and incorporated the insights into their analysis, the managers could quantify the value impact of these projects and rank them against other projects.

CLOSING THOUGHTS

Executives squander good corporate strategy when they can't overcome the organizational barriers, behavioral biases, weak processes, and plain lack of courage needed to turn ideas into value-creating actions. Strategic management requires combining strong analytics capabilities with the mindsets, behaviors, and operating guidelines that link strategy to value and inform and motivate managers toward long-term value creation. A prime goal for forward-looking executives should be making a solid connection between strategic goals and resource allocation. The list of best practices is long and can be daunting, but executives can begin by focusing on those that are easiest and likely to have the biggest impact on their performance. Adding new refinements over time will move any company closer to the goal of managing strategically for the long term.

REVIEW QUESTIONS

1. What are the three key elements of effective enterprise-wide resource allocation?
2. What approaches can management take to ensure that governance links strategy to long-term value? What are some examples of each approach?
3. What are some of the common behavioral biases that affect important strategic planning? What are some examples of each?
4. How can management mitigate the common behavioral biases from the prior question?
5. What steps can management take to implement synchronized and streamlined processes? What are key components of these steps?

